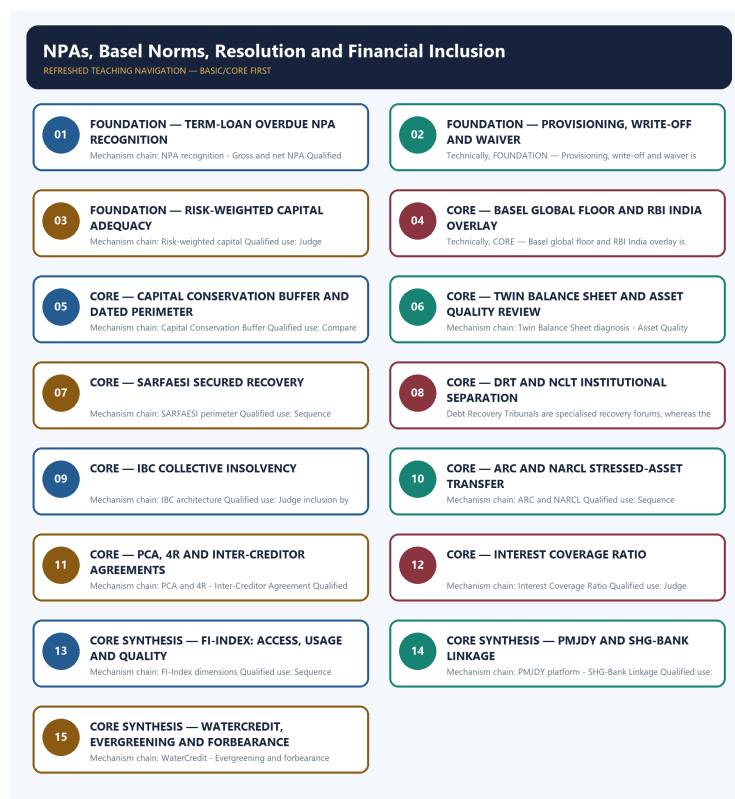


COMPLETE LEARNING SESSION

NPAs, Basel Norms, Resolution and Financial Inclusion - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

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NPA, Basel Norms, Resolution and Financial Inclusion - Learner-v2 Complete Learning Session

Authoring-only generation: 2026-09-03. No PDF was rendered and no tracker or index was mutated.

SOURCE, PROGRESSION AND CURRENT-LINKAGE AUDIT

- **Generation date:** 2026-09-03.
- **Repository-first evidence:** the Basic owner is taught first and preserved in full; the Advanced owner is retained only in the optional final teaching block.
- **OCR evidence:** Repository Markdown was primary. OCR-searchable local official General Studies papers were used only to confirm printed routed demands. No answer key, marking scheme, unsupported page precision or current macroeconomic statistic was inferred from them.
- **Qdrant:** not used; repository Markdown and available OCR context were sufficient.
- **PYQ integrity:** Audited ledgers route objective demands on capital adequacy, Inter-Creditor Agreements, Interest Coverage Ratio, WaterCredit and SHG-Bank Linkage here. No answer letter is inferred.
- **Live-link boundary:** The live RBI Basel page confirmed the circular identity, date and covered-bank perimeter. The attempted FI-Index URL resolved to an unrelated 2021 Treasury-Bill release, so Access-Usage-Quality and all prudential ratios remain sourced to the audited Markdown owner with their stated status.
- **Fact/inference discipline:** no current-affairs item, PYQ wording, figure or quotation is invented.

LIVE OFFICIAL-SOURCE ATTEMPT LOG

The checks below were made on 2026-09-03. Substantive official text is used only for the proposition it actually supports; binary files, dynamic shells, stubs and undated dashboard snippets are recorded but not converted into current claims.

- https://www.rbi.org.in/scripts/FS_Notification.aspx?Id=12815 - retrieved 2026-09-03; the official page substantively identifies RBI/2025-26/08 dated 1 April 2025, its scheduled-commercial-bank perimeter and the consolidated Basel III Capital Regulations circular. Ratio detail remains tied to the circular text and repository owner.
- https://rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=51984 - retrieved 2026-09-03; despite the owner label, the live page returned a dated 2021 Treasury-Bill auction rather than FI-Index text, so no FI-Index score or current NPA statistic was taken from it.

BASIC LEARNING SESSION

DEEP-REVIEW LEARNING CONTRACT

Control	Binding rule for this package
Syllabus boundary	Complete Economy Basic/Core is answer-complete before optional Advanced depth.
Formula boundary	Formula, numerator, denominator, unit, stock/flow, nominal/real, base year, level/rate and accounting identity are explicit.
Institutional boundary	Constitution, statute, delegated rule, regulator mandate, policy, recommendation, scheme and implementation outcome remain distinct.
Transmission method	Shock or instrument -> prices/quantities/balance sheets/incentives -> institution and market response -> output, employment, distribution, stability and external effect -> lag and trade-off.
Current-data method	Source -> release date -> reference period -> unit/denominator -> provisional/revised/final status; incompatible Budget, Survey or statistical vintages are never mixed.
Programme-status method	Announced -> approved -> notified/guidelines issued -> funded -> operational -> utilised -> output -> outcome are separate stages.
External/WTO method	Agreement text, member category, box, limit, notification, consultation, dispute and ruling are qualified without invented thresholds.
Causal method	Accounting identity, chronology and correlation are not promoted into behavioural or causal claims without mechanism, counterfactual and alternatives.
Answer balance	Model answers balance growth, distribution, stability, sustainability and federal dimensions with India-centric evidence.
Practice contract	Every solved item has demand decoding, a detailed examiner-grade model, executable timed/compression plan, marks rationale and answer-specific improvement.
Approval	This immutable successor remains approved: false pending explicit approval.

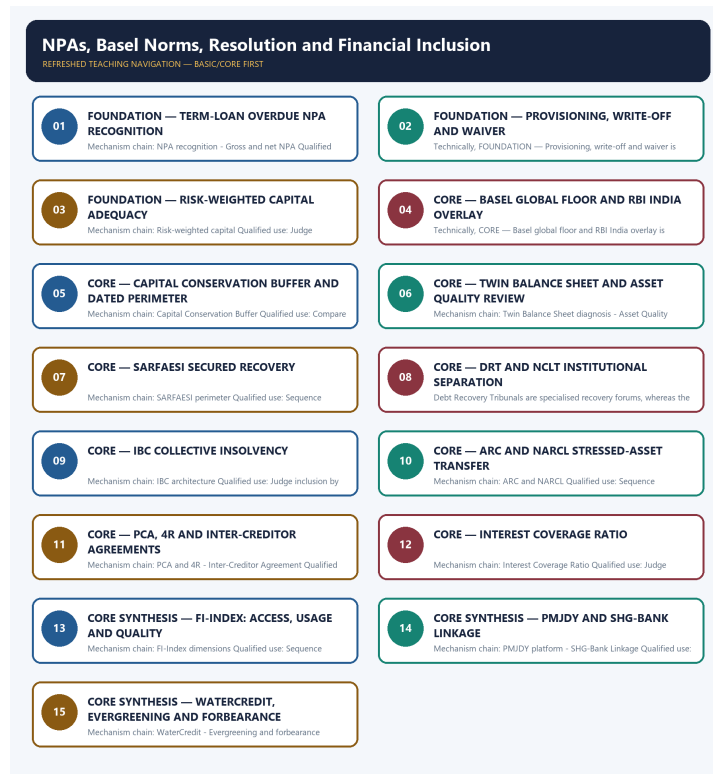
Canonical Basic/Core owner: upsc-ai-kit\knowledge\Economy\basic\06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md **Substantive canonical provenance owner:** upsc-ai-kit\knowledge\Economy\06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion_Learner-V2-Complete-Topic-Package.md **Optional Advanced owner:** upsc-ai-kit\knowledge\Economy\advanced\06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md **Official syllabus mapping:** upsc-ai-kit\knowledge\Economy\OFFICIAL-UPSC-SYLLABUS-MAPPING.md

EVIDENCE, PYQ AND CURRENT-STATUS CONTROL

- Every data-heavy table states unit, denominator, geography, reference period and source/status.
- GDP/GVA, gross/net, domestic/national, nominal/real and level/rate distinctions remain exact.
- Monetary, fiscal and external chains state intermediaries, balance-sheet channels, lags, leakages and trade-offs.
- Budget and Economic Survey editions are never mixed; BE, RE, Actual, advance/provisional/revised/final estimates remain labelled.
- Scheme and programme claims distinguish announcement, approval, notification, operation, coverage, utilisation and measured outcome.
- WTO boxes, limits, de minimis, special treatment, notifications and disputes are qualified from authoritative rules.
- PYQ wording is preserved only where verified; reconstructed or routed demands remain labelled.
- **Current-status note, rechecked 2026-09-03:** volatile rates, estimates, scheme status, trade rules and institutional claims retain official source, release date, reference period and revision status.

Generation-local live/current sources:

- https://www.rbi.org.in/scripts/FS_Notification.aspx?Id=12815 - retrieved 2026-09-03; the official page substantively identifies RBI/2025-26/08 dated 1 April 2025, its scheduled-commercial-bank perimeter and the consolidated Basel III Capital Regulations circular. Ratio detail remains tied to the circular text and repository owner.
- https://rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=51984 - retrieved 2026-09-03; despite the owner label, the live page returned a dated 2021 Treasury-Bill auction rather than FI-Index text, so no FI-Index score or current NPA statistic was taken from it.



Refreshed teaching navigation

Distinct embedded teaching-navigation image. The separate continuous Cārvāka-style flowchart package remains an independent at-a-glance artifact.

SESSION 1 - FOUNDATION - TERM-LOAN OVERDUE NPA RECOGNITION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Technical definition: Mechanism chain: NPA recognition - Gross and net NPA Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

MUST-WRITE KEYWORDS

- FOUNDATION
- Term-loan overdue NPA recognition
- Mechanism chain

- **Qualified use**
- **For**
- **RBI**

How to use them: Frame the answer through FOUNDATION; define Term-loan overdue NPA recognition, connect Mechanism chain with Qualified use to explain the mechanism, and use For for the decisive comparison or qualification.

VISUAL FIRST

TERM-LOAN OVERDUE NPA RECOGNITION

01. NPA recognition

|

v

02. Gross and net NPA

BOUNDARY -> Do not classify every weak borrower as an NPA without applying the prudential trigger.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

NAMED EVIDENCE AND MECHANISM

- For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.
- Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

EXAMINER CAUTION

- Do not classify every weak borrower as an NPA without applying the prudential trigger.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MINI RECAP

- **Mechanism chain:** NPA recognition -> Gross and net NPA
- **Qualified use:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

CLOSING RECALL FLOW - FOUNDATION - TERM-LOAN OVERDUE NPA RECOGNITION

START / CONCEPT: FOUNDATION - Term-loan overdue NPA recognition

|

v

EXACT TERMS: FOUNDATION · Term-loan overdue NPA recognition · Mechanism chain · Qualified use · For
· RBI

|

v

MECHANISM / ARGUMENT: Mechanism chain: NPA recognition - Gross and net NPA Qualified use: Sequence
recognition, loss absorption, resolution, recapitalisation and governance repair.

|

v

CONSEQUENCE / CONTRAST: Gross NPA records the classified stressed exposure, while net NPA deducts
provisions and specified adjustments to show the uncovered portion.

|

v

UPSC TRAP / ANSWER-USE: Do not classify every weak borrower as an NPA without applying the
prudential trigger.

|

v

ANSWER-GRABBING FORMULATION: For a term loan, the standard RBI prudential test is interest or
principal overdue for more than 90 days; the legal classification must not be replaced by a general
idea of borrower weakness.

SESSION 2 - FOUNDATION - PROVISIONING, WRITE-OFF AND WAIVER

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Provisioning and write-off Qualified use: Compare legal tools by
secured claim, collective action, tribunal and value-preservation purpose.

Technical definition: Technically, FOUNDATION - Provisioning, write-off and waiver is analysed by relating
FOUNDATION to Provisioning, then testing the relationship through waiver and Mechanism chain.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

MUST-WRITE KEYWORDS

- FOUNDATION
- Provisioning
- waiver
- Mechanism chain
- Qualified use
- NPA

How to use them: Frame the answer through FOUNDATION; define Provisioning, connect waiver with Mechanism
chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

PROVISIONING, WRITE-OFF AND WAIVER

01. Provisioning and write-off

BOUNDARY -> Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

NAMED EVIDENCE AND MECHANISM

- Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

EXAMINER CAUTION

- Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MINI RECAP

- **Mechanism chain:** Provisioning and write-off
- **Qualified use:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

CLOSING RECALL FLOW - FOUNDATION - PROVISIONING, WRITE-OFF AND WAIVER

START / CONCEPT: FOUNDATION - Provisioning, write-off and waiver

|

v

EXACT TERMS: FOUNDATION · Provisioning · waiver · Mechanism chain · Qualified use · NPA

|

v

MECHANISM / ARGUMENT: Mechanism chain: Provisioning and write-off Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

|

v

CONSEQUENCE / CONTRAST: The resulting consequence is that do not equate gross NPA, net NPA, provisioning, write-off and waiver.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not equate gross NPA, net NPA, provisioning, write-off and waiver.

|

v

ANSWER-GRABBING FORMULATION: Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

SESSION 3 - FOUNDATION - RISK-WEIGHTED CAPITAL ADEQUACY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Technical definition: Mechanism chain: Risk-weighted capital Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

MUST-WRITE KEYWORDS

- **FOUNDATION**
- **Risk-weighted capital adequacy**
- **Mechanism chain**
- **Qualified use**
- **Capital adequacy**
- **Capital**

How to use them: Frame the answer through FOUNDATION; define Risk-weighted capital adequacy, connect Mechanism chain with Qualified use to explain the mechanism, and use Capital adequacy for the decisive comparison or qualification.

VISUAL FIRST

RISK-WEIGHTED CAPITAL ADEQUACY

01. Risk-weighted capital

BOUNDARY -> Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

NAMED EVIDENCE AND MECHANISM

- Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

EXAMINER CAUTION

- Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Judge inclusion by active, suitable and protected use rather than headline account counts.

MINI RECAP

- **Mechanism chain:** Risk-weighted capital
- **Qualified use:** Judge inclusion by active, suitable and protected use rather than headline account counts.

CLOSING RECALL FLOW - FOUNDATION - RISK-WEIGHTED CAPITAL ADEQUACY

START / CONCEPT: FOUNDATION - Risk-weighted capital adequacy

|

v

EXACT TERMS: FOUNDATION • Risk-weighted capital adequacy • Mechanism chain • Qualified use • Capital adequacy • Capital

|

v

MECHANISM / ARGUMENT: Mechanism chain: Risk-weighted capital Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

CONSEQUENCE / CONTRAST: Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.

|

v

UPSC TRAP / ANSWER-USE: Mains: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

ANSWER-GRABBING FORMULATION: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

SESSION 4 - CORE - BASEL GLOBAL FLOOR AND RBI INDIA OVERLAY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Basel and RBI minima Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

Technical definition: Technically, CORE - Basel global floor and RBI India overlay is analysed by relating Basel global floor to RBI India overlay, then testing the relationship through Mechanism chain and Qualified use.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Basel and RBI minima Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MUST-WRITE KEYWORDS

- Basel global floor
- RBI India overlay
- Mechanism chain
- Qualified use
- SARFAESI
- IBC

How to use them: Frame the answer through Basel global floor; define RBI India overlay, connect Mechanism chain with Qualified use to explain the mechanism, and use SARFAESI for the decisive comparison or qualification.

VISUAL FIRST

BASEL GLOBAL FLOOR AND RBI INDIA OVERLAY

01. Basel and RBI minima

BOUNDARY -> Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

NAMED EVIDENCE AND MECHANISM

- The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

EXAMINER CAUTION

- Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MINI RECAP

- **Mechanism chain:** Basel and RBI minima
- **Qualified use:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

CLOSING RECALL FLOW - CORE - BASEL GLOBAL FLOOR AND RBI INDIA OVERLAY

START / CONCEPT: CORE - Basel global floor and RBI India overlay

|

v

EXACT TERMS: Basel global floor • RBI India overlay • Mechanism chain • Qualified use • SARFAESI • IBC

|

v

MECHANISM / ARGUMENT: Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

|

v

CONSEQUENCE / CONTRAST: The resulting consequence is that do not equate secured recovery under SARFAESI with collective insolvency under IBC.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not equate secured recovery under SARFAESI with collective insolvency under IBC.

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: Basel and RBI minima Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

SESSION 5 - CORE - CAPITAL CONSERVATION BUFFER AND DATED PERIMETER

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Technical definition: Mechanism chain: Capital Conservation Buffer Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

MUST-WRITE KEYWORDS

- Capital Conservation Buffer
- dated perimeter
- Mechanism chain
- Qualified use
- CRAR
- RBI

How to use them: Frame the answer through Capital Conservation Buffer; define dated perimeter, connect Mechanism chain with Qualified use to explain the mechanism, and use CRAR for the decisive comparison or qualification.

VISUAL FIRST

CAPITAL CONSERVATION BUFFER AND DATED PERIMETER

01. Capital Conservation Buffer

BOUNDARY -> Do not claim that transfer to an ARC or NARCL eliminates the economic loss.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

NAMED EVIDENCE AND MECHANISM

- The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

EXAMINER CAUTION

- Do not claim that transfer to an ARC or NARCL eliminates the economic loss.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MINI RECAP

- **Mechanism chain:** Capital Conservation Buffer
- **Qualified use:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

CLOSING RECALL FLOW - CORE - CAPITAL CONSERVATION BUFFER AND DATED PERIMETER

START / CONCEPT: CORE - Capital Conservation Buffer and dated perimeter

|

v

EXACT TERMS: Capital Conservation Buffer · dated perimeter · Mechanism chain · Qualified use · CRAR
· RBI

|

v

MECHANISM / ARGUMENT: Mechanism chain: Capital Conservation Buffer Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

|

v

CONSEQUENCE / CONTRAST: Do not claim that transfer to an ARC or NARCL eliminates the economic loss.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking...

|

v

ANSWER-GRABBING FORMULATION: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

SESSION 6 - CORE - TWIN BALANCE SHEET AND ASSET QUALITY REVIEW

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Technical definition: Mechanism chain: Twin Balance Sheet diagnosis - Asset Quality Review Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Twin Balance Sheet diagnosis - Asset Quality Review Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

MUST-WRITE KEYWORDS

- **Twin Balance Sheet**
- **Asset Quality Review**
- **Mechanism chain**
- **Qualified use**
- **Economic Survey**
- **2016-17**

How to use them: Frame the answer through Twin Balance Sheet; define Asset Quality Review, connect Mechanism chain with Qualified use to explain the mechanism, and use Economic Survey for the decisive comparison or qualification.

VISUAL FIRST

TWIN BALANCE SHEET AND ASSET QUALITY REVIEW

01. Twin Balance Sheet diagnosis

|

v

02. Asset Quality Review

BOUNDARY -> Do not call an Inter-Creditor Agreement a tribunal or statutory insolvency process.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

NAMED EVIDENCE AND MECHANISM

- Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.
- RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

EXAMINER CAUTION

- Do not call an Inter-Creditor Agreement a tribunal or statutory insolvency process.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Judge inclusion by active, suitable and protected use rather than headline account counts.

MINI RECAP

- **Mechanism chain:** Twin Balance Sheet diagnosis -> Asset Quality Review
- **Qualified use:** Judge inclusion by active, suitable and protected use rather than headline account counts.

CLOSING RECALL FLOW - CORE - TWIN BALANCE SHEET AND ASSET QUALITY REVIEW

START / CONCEPT: CORE - Twin Balance Sheet and Asset Quality Review

|

v

EXACT TERMS: Twin Balance Sheet • Asset Quality Review • Mechanism chain • Qualified use • Economic Survey • 2016-17

|

v

MECHANISM / ARGUMENT: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

|

v

CONSEQUENCE / CONTRAST: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

|

v

UPSC TRAP / ANSWER-USE: Do not call an Inter-Creditor Agreement a tribunal or statutory insolvency process.

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: Twin Balance Sheet diagnosis - Asset Quality Review
Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

SESSION 7 - CORE - SARFAESI SECURED RECOVERY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Technical definition: Mechanism chain: SARFAESI perimeter Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

MUST-WRITE KEYWORDS

- SARFAESI secured recovery
- Mechanism chain
- Qualified use
- The SARFAESI Act, 2002
- The SARFAESI Act
- Interest Coverage Ratio

How to use them: Frame the answer through SARFAESI secured recovery; define Mechanism chain, connect Qualified use with The SARFAESI Act, 2002 to explain the mechanism, and use The SARFAESI Act for the decisive comparison or qualification.

VISUAL FIRST

SARFAESI SECURED RECOVERY

01. SARFAESI perimeter

BOUNDARY -> Do not use Interest Coverage Ratio as the legal NPA definition.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

NAMED EVIDENCE AND MECHANISM

- The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

EXAMINER CAUTION

- Do not use Interest Coverage Ratio as the legal NPA definition.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MINI RECAP

- **Mechanism chain:** SARFAESI perimeter
- **Qualified use:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

CLOSING RECALL FLOW - CORE - SARFAESI SECURED RECOVERY

START / CONCEPT: CORE - SARFAESI secured recovery

|

v

EXACT TERMS: SARFAESI secured recovery · Mechanism chain · Qualified use · The SARFAESI Act, 2002 · The SARFAESI Act · Interest Coverage Ratio

|

v

MECHANISM / ARGUMENT: Mechanism chain: SARFAESI perimeter Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

|

v

CONSEQUENCE / CONTRAST: Do not use Interest Coverage Ratio as the legal NPA definition.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the SARFAESI Act, 2002 is centred on enforcement of secured assets and is not...

|

v

ANSWER-GRABBING FORMULATION: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

SESSION 8 - CORE - DRT AND NCLT INSTITUTIONAL SEPARATION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: DRT and NCLT distinction Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

Technical definition: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: DRT and NCLT distinction Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MUST-WRITE KEYWORDS

- DRT
- NCLT institutional separation
- Mechanism chain
- Qualified use
- Debt Recovery Tribunals
- NCLT-based IBC

How to use them: Frame the answer through DRT; define NCLT institutional separation, connect Mechanism chain with Qualified use to explain the mechanism, and use Debt Recovery Tribunals for the decisive comparison or qualification.

VISUAL FIRST

DRT AND NCLT INSTITUTIONAL SEPARATION

01. DRT and NCLT distinction

BOUNDARY -> Do not reduce financial inclusion to account opening without usage and quality.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

NAMED EVIDENCE AND MECHANISM

- Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

EXAMINER CAUTION

- Do not reduce financial inclusion to account opening without usage and quality.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MINI RECAP

- **Mechanism chain:** DRT and NCLT distinction
- **Qualified use:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

CLOSING RECALL FLOW - CORE - DRT AND NCLT INSTITUTIONAL SEPARATION

START / CONCEPT: CORE - DRT and NCLT institutional separation

|

v

EXACT TERMS: DRT • NCLT institutional separation • Mechanism chain • Qualified use • Debt Recovery Tribunals • NCLT-based IBC

|

v

MECHANISM / ARGUMENT: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

|

v

CONSEQUENCE / CONTRAST: Do not reduce financial inclusion to account opening without usage and quality.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: debt Recovery Tribunals are specialised recovery forums.

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: DRT and NCLT distinction Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

SESSION 9 - CORE - IBC COLLECTIVE INSOLVENCY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Technical definition: Mechanism chain: IBC architecture Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

MUST-WRITE KEYWORDS

- IBC collective insolvency
- Mechanism chain
- Qualified use
- The Insolvency
- Bankruptcy Code
- NCLT

How to use them: Frame the answer through IBC collective insolvency; define Mechanism chain, connect Qualified use with The Insolvency to explain the mechanism, and use Bankruptcy Code for the decisive comparison or qualification.

VISUAL FIRST

IBC COLLECTIVE INSOLVENCY

01. IBC architecture

BOUNDARY -> Do not treat every restructuring or temporary forbearance as fraud.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

NAMED EVIDENCE AND MECHANISM

- The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

EXAMINER CAUTION

- Do not treat every restructuring or temporary forbearance as fraud.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Judge inclusion by active, suitable and protected use rather than headline account counts.

MINI RECAP

- **Mechanism chain:** IBC architecture
- **Qualified use:** Judge inclusion by active, suitable and protected use rather than headline account counts.

CLOSING RECALL FLOW - CORE - IBC COLLECTIVE INSOLVENCY

START / CONCEPT: CORE - IBC collective insolvency

|

v

EXACT TERMS: IBC collective insolvency • Mechanism chain • Qualified use • The Insolvency • Bankruptcy Code • NCLT

|

v

MECHANISM / ARGUMENT: Mechanism chain: IBC architecture Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

CONSEQUENCE / CONTRAST: Do not treat every restructuring or temporary forbearance as fraud.

|

v

UPSC TRAP / ANSWER-USE: Mains: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

ANSWER-GRABBING FORMULATION: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

SESSION 10 - CORE - ARC AND NARCL STRESSED-ASSET TRANSFER

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Technical definition: Mechanism chain: ARC and NARCL Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

MUST-WRITE KEYWORDS

- ARC
- NARCL stressed-asset transfer
- Mechanism chain
- Qualified use
- Asset Reconstruction Companies
- NARCL

How to use them: Frame the answer through ARC; define NARCL stressed-asset transfer, connect Mechanism chain with Qualified use to explain the mechanism, and use Asset Reconstruction Companies for the decisive comparison or qualification.

VISUAL FIRST

ARC AND NARCL STRESSED-ASSET TRANSFER

01. ARC and NARCL

BOUNDARY -> Do not present the Twin Balance Sheet diagnosis as a current ratio or scheme.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

NAMED EVIDENCE AND MECHANISM

- Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

EXAMINER CAUTION

- Do not present the Twin Balance Sheet diagnosis as a current ratio or scheme.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MINI RECAP

- **Mechanism chain:** ARC and NARCL
- **Qualified use:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

CLOSING RECALL FLOW - CORE - ARC AND NARCL STRESSED-ASSET TRANSFER

START / CONCEPT: CORE - ARC and NARCL stressed-asset transfer

|

v

EXACT TERMS: ARC · NARCL stressed-asset transfer · Mechanism chain · Qualified use · Asset Reconstruction Companies · NARCL

|

v

MECHANISM / ARGUMENT: Mechanism chain: ARC and NARCL Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

|

v

CONSEQUENCE / CONTRAST: Do not present the Twin Balance Sheet diagnosis as a current ratio or scheme.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: asset Reconstruction Companies acquire stressed assets for recovery or resolution.

|

v

ANSWER-GRABBING FORMULATION: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

SESSION 11 - CORE - PCA, 4R AND INTER-CREDITOR AGREEMENTS

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Technical definition: Mechanism chain: PCA and 4R - Inter-Creditor Agreement Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

MUST-WRITE KEYWORDS

- PCA
- Inter-Creditor Agreements
- Mechanism chain
- Qualified use
- Prompt Corrective Action
- 4R

How to use them: Frame the answer through PCA; define Inter-Creditor Agreements, connect Mechanism chain with Qualified use to explain the mechanism, and use Prompt Corrective Action for the decisive comparison or qualification.

VISUAL FIRST

PCA, 4R AND INTER-CREDITOR AGREEMENTS

01. PCA and 4R

|

v

02. Inter-Creditor Agreement

BOUNDARY -> Do not classify every weak borrower as an NPA without applying the prudential trigger.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

NAMED EVIDENCE AND MECHANISM

- Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.
- An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

EXAMINER CAUTION

- Do not classify every weak borrower as an NPA without applying the prudential trigger.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MINI RECAP

- **Mechanism chain:** PCA and 4R -> Inter-Creditor Agreement
- **Qualified use:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

CLOSING RECALL FLOW - CORE - PCA, 4R AND INTER-CREDITOR AGREEMENTS

START / CONCEPT: CORE - PCA, 4R and Inter-Creditor Agreements

|

v

EXACT TERMS: PCA · Inter-Creditor Agreements · Mechanism chain · Qualified use · Prompt Corrective Action · 4R

|

v

MECHANISM / ARGUMENT: Mechanism chain: PCA and 4R - Inter-Creditor Agreement Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

|

v

CONSEQUENCE / CONTRAST: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

|

v

UPSC TRAP / ANSWER-USE: Do not classify every weak borrower as an NPA without applying the prudential trigger.

|

v

ANSWER-GRABBING FORMULATION: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

SESSION 12 - CORE - INTEREST COVERAGE RATIO

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

Technical definition: Mechanism chain: Interest Coverage Ratio Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

MUST-WRITE KEYWORDS

- Interest Coverage Ratio
- Mechanism chain
- Qualified use
- NPA
- Judge
- Interest Coverage Ratio Qualified

How to use them: Frame the answer through Interest Coverage Ratio; define Mechanism chain, connect Qualified use with NPA to explain the mechanism, and use Judge for the decisive comparison or qualification.

VISUAL FIRST

INTEREST COVERAGE RATIO

01. Interest Coverage Ratio

BOUNDARY -> Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

NAMED EVIDENCE AND MECHANISM

- Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

EXAMINER CAUTION

- Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Judge inclusion by active, suitable and protected use rather than headline account counts.

MINI RECAP

- **Mechanism chain:** Interest Coverage Ratio
- **Qualified use:** Judge inclusion by active, suitable and protected use rather than headline account counts.

CLOSING RECALL FLOW - CORE - INTEREST COVERAGE RATIO

START / CONCEPT: CORE - Interest Coverage Ratio

|

v

EXACT TERMS: Interest Coverage Ratio · Mechanism chain · Qualified use · NPA · Judge · Interest Coverage Ratio Qualified

|

v

MECHANISM / ARGUMENT: Mechanism chain: Interest Coverage Ratio Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

CONSEQUENCE / CONTRAST: Do not equate gross NPA, net NPA, provisioning, write-off and waiver.

|

v

UPSC TRAP / ANSWER-USE: Mains: Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

ANSWER-GRABBING FORMULATION: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

SESSION 13 - CORE SYNTHESIS - FI-INDEX: ACCESS, USAGE AND QUALITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Technical definition: Mechanism chain: FI-Index dimensions Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

MUST-WRITE KEYWORDS

- **CORE SYNTHESIS**
- **FI-Index**
- **Access**
- **Usage**
- **Quality**
- **Mechanism chain**

How to use them: Frame the answer through CORE SYNTHESIS; define FI-Index, connect Access with Usage to explain the mechanism, and use Quality for the decisive comparison or qualification.

VISUAL FIRST

FI-INDEX: ACCESS, USAGE AND QUALITY

01. FI-Index dimensions

BOUNDARY -> Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

NAMED EVIDENCE AND MECHANISM

- RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

EXAMINER CAUTION

- Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

MINI RECAP

- **Mechanism chain:** FI-Index dimensions
- **Qualified use:** Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.

CLOSING RECALL FLOW - CORE SYNTHESIS - FI-INDEX: ACCESS, USAGE AND QUALITY

START / CONCEPT: CORE SYNTHESIS - FI-Index: Access, Usage and Quality
|
v
EXACT TERMS: CORE SYNTHESIS • FI-Index • Access • Usage • Quality • Mechanism chain
|
v
MECHANISM / ARGUMENT: Mechanism chain: FI-Index dimensions Qualified use: Sequence recognition, loss absorption, resolution, recapitalisation and governance repair.
|
v
CONSEQUENCE / CONTRAST: Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.
|
v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base...
|
v
ANSWER-GRABBING FORMULATION: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

SESSION 14 - CORE SYNTHESIS - PMJDY AND SHG-BANK LINKAGE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

Technical definition: Mechanism chain: PMJDY platform - SHG-Bank Linkage Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- PMJDY
- SHG-Bank Linkage
- Mechanism chain
- Qualified use
- Pradhan Mantri Jan Dhan Yojana

How to use them: Frame the answer through CORE SYNTHESIS; define PMJDY, connect SHG-Bank Linkage with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

PMJDY AND SHG-BANK LINKAGE

01. PMJDY platform

|
v

02. SHG-Bank Linkage

BOUNDARY -> Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

NAMED EVIDENCE AND MECHANISM

- Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
- SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

EXAMINER CAUTION

- Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

MINI RECAP

- **Mechanism chain:** PMJDY platform -> SHG-Bank Linkage
- **Qualified use:** Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

CLOSING RECALL FLOW - CORE SYNTHESIS - PMJDY AND SHG-BANK LINKAGE

START / CONCEPT: CORE SYNTHESIS - PMJDY and SHG-Bank Linkage

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v

EXACT TERMS: CORE SYNTHESIS • PMJDY • SHG-Bank Linkage • Mechanism chain • Qualified use • Pradhan Mantri Jan Dhan Yojana

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MECHANISM / ARGUMENT: Mechanism chain: PMJDY platform - SHG-Bank Linkage Qualified use: Compare legal tools by secured claim, collective action, tribunal and value-preservation purpose.

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CONSEQUENCE / CONTRAST: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

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v

UPSC TRAP / ANSWER-USE: Do not equate secured recovery under SARFAESI with collective insolvency under IBC.

|
v

ANSWER-GRABBING FORMULATION: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

SESSION 15 - CORE SYNTHESIS - WATERCREDIT, EVERGREENING AND FORBEARANCE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: CORE SYNTHESIS - WaterCredit, evergreening and forbearance comprises CORE SYNTHESIS, WaterCredit and evergreening as its core connected dimensions.

Technical definition: Mechanism chain: WaterCredit - Evergreening and forbearance Qualified use: Judge inclusion by active, suitable and protected use rather than headline account counts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- WaterCredit
- evergreening
- forbearance
- Mechanism chain
- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define WaterCredit, connect evergreening with forbearance to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

WATERCREDIT, EVERGREENING AND FORBEARANCE

01. WaterCredit

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v

02. Evergreening and forbearance

BOUNDARY -> Do not claim that transfer to an ARC or NARCL eliminates the economic loss.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

NAMED EVIDENCE AND MECHANISM

- WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.
- Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

EXAMINER CAUTION

- Do not claim that transfer to an ARC or NARCL eliminates the economic loss.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Judge inclusion by active, suitable and protected use rather than headline account counts.

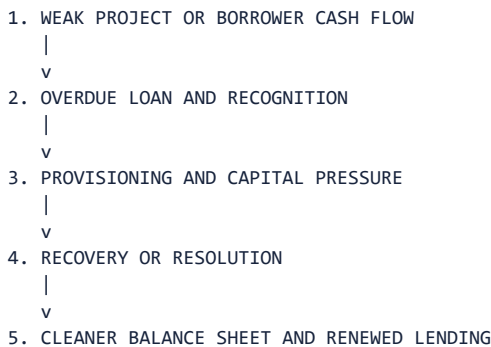
MINI RECAP

- **Mechanism chain:** WaterCredit -> Evergreening and forbearance
- **Qualified use:** Judge inclusion by active, suitable and protected use rather than headline account counts.

COMPLETE BASIC OWNER EVIDENCE BANK

Subject: Economy | **Tier:** Must-Do (foundation) | **GS Paper:** GS-III + Prelims. **Core area:** Banking reform and inclusion. **Grounded in:** Ramesh Singh, relevant chapters; Economic Survey 2025-26; audited UPSC Economy PYQs (2024-2026 Prelims and 2024-2025 Mains). **FACT:** = source-grounded | **ANALYSIS:** = analytical linkage | **CURRENT:** = current Survey/current-affairs hook. *Companion:* `../advanced/06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md`.

1. Visual foundation



Core proposition: A durable solution combines early recognition, adequate loss absorption, time-bound resolution, better governance and inclusion based on suitable usage rather than account counts.

2. Essential definitions

Concept	Exam-ready meaning
FACT: NPA	Loan classified as non-performing under RBI prudential norms; for a term loan, interest or principal overdue for more than 90 days is the standard test.
FACT: Provisioning	Charge against income to absorb expected loss on stressed assets.
FACT: Capital adequacy	Capital buffer relative to risk-weighted assets.
FACT: Resolution	Restructuring, recovery, sale or insolvency process for stressed exposure.
FACT: Financial inclusion	Useful, affordable and responsible access, usage and quality of financial services.

3. Topic mechanism

1. Weak borrower cash flow or project failure causes overdue interest or principal.
2. Asset classification and provisioning force the lender to recognise expected loss.
3. Losses reduce profits and capital, constraining the bank's ability to extend fresh credit.
4. Restructuring, recovery, asset sale or insolvency resolution determines whether enterprise value can be preserved.
5. Recapitalisation and governance reform restore lending capacity, while inclusion policy broadens responsible access and usage.

4. Institutions and policy tools

- **FACT: RBI:** sets prudential norms on recognition, provisioning, income recognition, restructuring, capital adequacy and supervisory intervention, including Prompt Corrective Action (PCA) for weak banks.

- FACT: **SARFAESI Act, 2002 and Debt Recovery Tribunals (DRTs)**: provide a specialised framework for secured-asset enforcement and recovery outside the slow route of ordinary civil litigation.
- FACT: **IBC, 2016 with IBBI, NCLT and the Committee of Creditors**: supplies a collective, time-bound insolvency framework aimed at preserving value rather than allowing indefinite lender-by-lender recovery battles.
- FACT: **ARCs and NARCL**: represent the stressed-asset-transfer or "bad bank" route, where impaired assets are aggregated, resolved or sold under a specialised framework.
- FACT: **Financial-inclusion architecture**: Jan Dhan Yojana, SHG-Bank Linkage, business correspondents and digital-payment rails widen access, while RBI's FI-Index checks whether access translates into usage and quality.
- FACT: **Narasimham Committee I (1991) and Narasimham Committee II (1998)**: key reform anchors for prudential banking reform, capital adequacy and stronger resolution-oriented discipline.
- FACT: **Basel Committee framework and RBI's CRAR overlay**: Basel III sets a global minimum Total Capital-to-Risk-weighted-Assets Ratio (CRAR) of 8%; RBI requires Indian scheduled commercial banks to meet higher India-specific minima - **CET1 $\geq$ 5.5%**, **Tier 1 $\geq$ 7%** and **Total CRAR $\geq$ 9%** of risk-weighted assets (all excluding the Capital Conservation Buffer) - plus a **Capital Conservation Buffer (CCB) of 2.5%** met with Common Equity Tier 1 capital, taking the effective minimum CET1 to 8% and effective Total CRAR to **11.5%** - an India-specific overlay on top of the global Basel floor, currently set out in RBI's Master Circular on Basel III Capital Regulations (last issued 1 April 2025; verify against the latest-dated Master Circular before quoting any ratio as current).

5. Indian applications and examples

- ANALYSIS: **Claim**: India's NPA build-up was not a standalone banking failure; it was one half of a wider corporate-bank distress loop. FACT: **Named evidence/example**: The "**Twin Balance Sheet (TBS) problem**", named and analysed in the **Economic Survey 2016-17** (under Chief Economic Adviser Arvind Subramanian), described how over-leveraged corporates unable to service debt (many with an interest-coverage ratio below 1) and loss-absorbing public-sector banks were locked in mutual distress. ANALYSIS: **Why it supports the claim**: TBS shows why NPA resolution needed simultaneous corporate deleveraging/resolution (IBC) and bank recapitalisation/governance reform - cleaning only one balance sheet leaves the other constrained. ANALYSIS: **Limit / status caution**: TBS is a diagnostic framing from a specific Survey period; do not treat its named ratios (such as the ~9% system GNPA figure noted at the time) as current, and note that the term describes a structural stress pattern rather than a single legal instrument.
- ANALYSIS: **Claim**: NPA cleanup begins with recognition, not with concealment. FACT: **Named evidence/example**: RBI's Asset Quality Review (AQR) phase pushed banks to recognise previously under-reported stress more credibly. ANALYSIS: **Why it supports the claim**: This illustrates that transparent classification is the starting point for provisioning, recapitalisation and eventual resolution; without recognition, later repair measures rest on weak information. ANALYSIS: **Limit / status caution**: Early recognition can initially worsen headline GNPA numbers and constrain fresh lending, so it often faces political and balance-sheet resistance.
- ANALYSIS: **Claim**: Capital-adequacy regulation fixes a minimum loss-absorption buffer that is risk-weighted, not a flat ratio on total assets, and India's overlay is deliberately stricter than the global floor. FACT: **Named evidence/example**: Basel III prescribes **CET1 $\geq$ 4.5%**, **Tier 1 $\geq$ 6%** and **Total Capital $\geq$ 8%** of risk-weighted assets globally; RBI's India-specific rules set higher standalone minima - **CET1 $\geq$ 5.5%**, **Tier 1 $\geq$ 7%** and **Total CRAR $\geq$ 9%** - and raise the effective minimum CRAR (Total Capital plus CCB) to **11.5%**, with a Countercyclical Capital Buffer of up to 2.5% available but not activated by RBI as of the latest guidance. ANALYSIS: **Why it supports the claim**: The higher India-specific CET1/Tier 1/CRAR floors show regulators using capital buffers - not only NPA recognition - as a structural defence against the kind of twin-balance-sheet stress described above. ANALYSIS: **Limit / status caution**: Basel/RBI capital norms are periodically revised (phase-in schedules, buffer activation, risk-weight changes); quote the **latest RBI Master Circular/Direction on Basel III Capital Regulations** (last issued 1 April 2025) rather than treating any single ratio as permanently fixed, and remember capital adequacy alone cannot substitute for credit-appraisal quality or governance reform.

- ANALYSIS: **Claim:** India needed special recovery laws because ordinary court processes were too slow for stressed secured lending. FACT: **Named evidence/example:** The SARFAESI Act, 2002 and Debt Recovery Tribunals (DRTs) created a dedicated framework for recovery of secured assets and debt-related disputes. ANALYSIS: **Why it supports the claim:** They strengthened creditor bargaining power and recovery discipline by moving beyond routine civil-suit timelines. ANALYSIS: **Limit / status caution:** These tools work better when security exists and documentation is clear; they do not automatically solve viability problems in complex multi-creditor cases.
- ANALYSIS: **Claim:** Multi-lender corporate distress requires a collective resolution mechanism, not only bilateral recovery. FACT: **Named evidence/example:** The Insolvency and Bankruptcy Code (IBC), 2016 created a creditor-in-committee process under the NCLT framework. ANALYSIS: **Why it supports the claim:** IBC shifted the focus from scattered recovery to value-maximising resolution, buyer discovery and time-bound restructuring where feasible. ANALYSIS: **Limit / status caution:** Litigation, capacity constraints and delays can reduce time-bound efficiency, so legal architecture alone does not guarantee high recovery or speedy closure.
- ANALYSIS: **Claim:** Some legacy stress is easier to resolve after transfer to a specialised vehicle. FACT: **Named evidence/example:** Asset Reconstruction Companies (ARCs) and the National Asset Reconstruction Company Limited (NARCL) embody the Indian "bad bank" concept. ANALYSIS: **Why it supports the claim:** They can aggregate difficult assets, separate them from fresh bank lending and create a more specialised resolution track. ANALYSIS: **Limit / status caution:** Asset transfer does not erase loss; valuation, recovery prospects and ultimate buyer interest remain decisive.
- ANALYSIS: **Claim:** NPA repair requires supervisory and fiscal-governance support, not only legal tools. FACT: **Named evidence/example:** India's "4R" narrative-Recognition, Resolution, Recapitalization and Reforms-along with PCA for weak banks framed the cleanup strategy for stressed public-sector banking. ANALYSIS: **Why it supports the claim:** This shows that bad-loan resolution works only when losses are recognised, capital is replenished and governance is improved alongside recovery efforts. ANALYSIS: **Limit / status caution:** Recapitalisation without governance reform can create moral hazard, while PCA may temporarily restrain credit growth.
- ANALYSIS: **Claim:** India's NPA and capital reforms were shaped by a longer prudential-reform trajectory, not only by one crisis episode. FACT: **Named evidence/example:** Narasimham Committee I (1991) and Narasimham Committee II (1998) pushed banking-sector reform towards prudential norms, capital adequacy and stronger balance-sheet discipline. ANALYSIS: **Why it supports the claim:** These committees provide the historical bridge between liberalisation-era banking reform and later debates on NPAs, Basel discipline and resolution. ANALYSIS: **Limit / status caution:** Committee recommendations set direction, but implementation has always been phased and politically mediated.
- ANALYSIS: **Claim:** Financial inclusion must be judged by active use and welfare value, not only by the number of opened accounts. FACT: **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana (PMJDY) expanded account access and linked it with payments, transfers and formal-finance entry. ANALYSIS: **Why it supports the claim:** PMJDY shows how account opening can create a platform for savings, DBT receipt and broader financial participation. ANALYSIS: **Limit / status caution:** A known critique is the gap between accounts opened and sustained account usage; dormancy or low-activity accounts weaken the claim that access automatically becomes effective inclusion.

6A. Limitations and trade-offs

- ANALYSIS: Stricter recognition improves credibility, but it can initially worsen reported asset-quality ratios and reduce short-term lending appetite.
- ANALYSIS: Basel-style capital and provisioning discipline strengthens resilience, yet higher buffers can constrain lending during weak-capital phases if not paired with recapitalisation.
- ANALYSIS: SARFAESI and DRT routes strengthen creditor rights, but aggressive recovery without viability assessment can destroy enterprise value rather than preserve it.
- ANALYSIS: IBC promises collective and time-bound resolution, yet judicial delay and

capacity bottlenecks can dilute its value-preservation objective.

- ANALYSIS: Bad-bank style aggregation can unclog balance sheets, but transfer pricing, recovery uncertainty and delayed exits remain hard problems.
- ANALYSIS: Inclusion through PMJDY or microcredit widens access, but account opening, credit extension and welfare gains diverge when usage, literacy, grievance redress and repayment capacity remain weak.
- ANALYSIS: A higher India-specific CRAR floor (11.5% versus the Basel 8% minimum) builds resilience, but it can also raise the cost of capital and constrain credit growth for weakly capitalised banks unless recapitalisation keeps pace.
- ANALYSIS: Naming the Twin Balance Sheet problem clarifies that corporate and bank distress are linked, but treating either side alone (only recapitalising banks or only restructuring corporates) is diagnostically incomplete.

6. Must-Know Facts for Prelims

- FACT: Gross NPA and net NPA differ because provisions reduce the uncovered amount.
- FACT: Provisioning recognises expected loss; a write-off removes the loan from the active loan book, but recovery rights may continue.
- FACT: Basel norms cover capital adequacy, supervisory review and market discipline; capital adequacy is assessed against **risk-weighted assets**, not merely total assets.
- FACT: Basel III's global minimum Total CRAR is 8% (CET1 $\geq$ 4.5%, Tier 1 $\geq$ 6%); RBI's India-specific standalone minima are **CET1 $\geq$ 5.5%**, **Tier 1 $\geq$ 7%** and **Total CRAR $\geq$ 9%**, and with the 2.5% Capital Conservation Buffer the effective minimum CET1 is 8% and the effective Total CRAR is **11.5%** - always cite the latest RBI Master Circular/Direction (last issued 1 April 2025. for the current figure.
- FACT: The "Twin Balance Sheet" (TBS) problem - named in the Economic Survey 2016-17 - refers to simultaneously stressed corporate balance sheets (over-leveraged, weak debt-servicing capacity) and bank balance sheets (rising NPAs); it is a diagnostic framing, not a law or scheme.
- FACT: Risk weights mean capital requirements depend on asset risk, not only on the size of the balance sheet.
- FACT: SARFAESI Act, 2002 is a secured-asset recovery framework; it is not a substitute for the entire insolvency system.
- FACT: Debt Recovery Tribunals (DRTs) are specialised recovery forums; they are distinct from the NCLT-based insolvency route under IBC, 2016.
- FACT: IBC, 2016 is a collective insolvency-resolution mechanism; it aims at resolution or value-maximising exit, not merely one lender's recovery.
- FACT: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents the Indian "bad bank" aggregation concept.
- FACT: Prompt Corrective Action (PCA) is a supervisory tool for weak banks, and the "4R" approach refers to Recognition, Resolution, Recapitalization and Reforms.
- FACT: Inter-Creditor Agreements are coordination tools among lenders in stressed resolution; they reduce holdout problems but are not themselves a court or insolvency tribunal.
- FACT: Interest Coverage Ratio measures a firm's ability to service interest out of earnings; it is a stress indicator, not the legal definition of an NPA.
- FACT: RBI's annual FI-Index uses **Access, Usage and Quality**; it measures more

than the number of accounts opened.

- FACT: SHG-Bank Linkage connects savings groups-commonly women-led self-help groups-to formal banking channels; the SHG is not itself a bank.
- FACT: WaterCredit is a microfinance-oriented model for water and sanitation access; it illustrates targeted inclusion beyond plain consumption credit or account opening.

7. UPSC traps

- WRONG: Every restructured loan is fraud. -> Restructuring can be legitimate when viability is restored transparently.
- WRONG: Provisioning is the same as write-off. -> Provisioning recognises expected loss; write-off removes the asset from active books.
- WRONG: A write-off waives the borrower's liability. -> Recovery rights can continue after an accounting write-off.
- WRONG: Basel fixes a single capital ratio for every asset. -> Risk weights and buffer requirements matter.
- WRONG: India follows only the Basel III global minima (CET1 4.5%/Tier1 6%/Total 8%). -> RBI's India-specific minima are higher: CET1 $\geq 5.5\%$, Tier 1 $\geq 7\%$, Total CRAR $\geq 9\%$ (11.5% with the 2.5% CCB) - cite the India-specific figures, not the global Basel floor, for an India-focused answer.
- WRONG: Opening accounts alone completes inclusion. -> Usage, quality, literacy, protection and suitable credit are essential.
- WRONG: SARFAESI and IBC are identical. -> One is a recovery tool centred on secured assets; the other is a collective insolvency framework.
- WRONG: A bad bank eliminates losses. -> It shifts stressed assets into a different resolution vehicle; valuation and recovery risks remain.

8. CURRENT: Economic Survey 2025-26 / current anchor

- CURRENT: Scheduled commercial bank GNPA was 2.2% and NNPA 0.5% by Sep 2025.
- CURRENT: The Survey reports multi-decade-low asset-quality ratios while stressing calibrated financial regulation.
- CURRENT: RBI's FI-Index has three dimensions-Access, Usage and Quality-and no base year. Its score should not be presented as a count of accounts or borrowers.

Source: RBI FI-Index release.

ANALYSIS: **Interpretation caution:** Temporary regulatory forbearance can bridge a shock, but prolonged concealment creates zombie borrowers and misallocated credit.

9. PYQ application

- ANALYSIS: Historical prelims have repeatedly tested capital adequacy as a risk-weighted concept rather than a simple balance-sheet total.
- ANALYSIS: PYQ demand also extends beyond bank-account counting to lender coordination, stress-detection indicators and targeted inclusion models such as SHG linkage or WaterCredit-type microfinance.
- ANALYSIS: Use SARFAESI, DRT, IBC, ARCs and NARCL to separate recovery, resolution and stressed-asset transfer in statement-based prelims questions.
- ANALYSIS: Use PMJDY and RBI's FI-Index together in mains answers to show why access, usage and quality must be distinguished.

10. Mains angles

- ANALYSIS: Frame the twin objective as clean balance sheets plus responsible credit

deepening.

- ANALYSIS: Use the sequence recognition, provisioning, recapitalisation, resolution, governance reform and monitoring.
- ANALYSIS: Distinguish recovery tools from insolvency tools and inclusion from mere account opening.
- ANALYSIS: Use AQR, SARFAESI, IBC, NARCL and PMJDY as evidence units instead of narrating reform chronologically without analysis.

Answer thesis: A durable solution combines early recognition, adequate loss absorption, time-bound resolution, better governance and inclusion based on suitable usage rather than account counts.

11. Probable questions

- ANALYSIS: **Prelims:** Distinguish gross NPA, net NPA, provisioning, write-off, SARFAESI, DRT and IBC.
- ANALYSIS: **Mains (10 marks):** Why can prompt recognition of bad loans initially worsen reported ratios but improve financial stability?
- ANALYSIS: **Mains (15 marks):** Connect Basel discipline, insolvency resolution and financial inclusion in a sound-credit strategy.
- ANALYSIS: **Mains (20 marks):** Evaluate India's NPA-cleanup architecture through the 4R strategy, IBC, ARCs or NARCL and Jan-Dhan-era inclusion outcomes.

11A. Answer architecture (10/15/20-mark support)

- ANALYSIS: **Directive decoder - Discuss:** Define the stress problem first, then move through recognition, provisioning, recovery or resolution, and finally inclusion implications.
- ANALYSIS: **Directive decoder - Examine / Analyse:** Trace the mechanism from weak borrower cash flow to NPA recognition, capital pressure, recovery choice and restored lending capacity; explain why each institutional stage exists.
- ANALYSIS: **Directive decoder - Critically examine / Evaluate:** Use AQR, SARFAESI, IBC, NARCL, PCA or 4R and PMJDY as evidence, then qualify them with the trade-offs from section 6A on delay, moral hazard, pricing and usage gaps.
- ANALYSIS: **Directive decoder - Compare / Justify:** Compare recovery tools (SARFAESI or DRT), collective resolution (IBC) and stressed-asset transfer (ARC or NARCL) by purpose, speed, creditor coordination and value preservation.
- ANALYSIS: **Evidence chain:** Twin Balance Sheet diagnosis (Economic Survey 2016-17)
-> AQR -> Basel/RBI CET1 5.5%/Tier 1 7%/CRAR 9% (+2.5% CCB = 11.5%) -> SARFAESI or DRT -> IBC, 2016 -> ARC or NARCL -> PCA or 4R -> Narasimham reform lineage -> PMJDY or SHG linkage for the inclusion dimension.
- ANALYSIS: **Counter-evidence:** Use section 6A to temper claims about speedy resolution, strong recovery or complete inclusion success.
- ANALYSIS: **10/15/20-mark scaling:** For 10 marks, use a thesis plus 2-3 evidence units; for 15 marks, use 4-5 evidence units with one counter-dimension; for 20 marks, use 5-6 evidence units with full balance across prudential rules, recovery design, governance and inclusion quality.
- ANALYSIS: **Reasoned verdict template:** India's NPA strategy is strongest when early recognition, risk-based capital discipline and time-bound resolution are tied to governance reform, while financial inclusion is judged by active and useful usage rather than headline account creation alone.

12. Study links

- FACT: Advanced companion:
../advanced/06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md.
- FACT: 05_Banking-Structure-NBFCs-and-Financial-Regulation.md - regulated entities and safety nets.
- FACT: 09_Union-Budget-Fiscal-Policy-and-Deficit-Indicators.md - recapitalisation and contingent fiscal costs.
- FACT: 24_Services-Digital-Economy-Fintech-and-Platform-Markets.md - digital underwriting and consumer protection.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2018-2023.md. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2023
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 5

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	16	Capital Adequacy Ratio banking regulation and determination	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	72	Inter-Creditor Agreement purpose for stressed asset resolution	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	62	Interest Coverage Ratio firm debt servicing bank assessment	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	14	WaterCredit microfinance initiative water sanitation access	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	74	Self-Help Groups origin structure and bank linkage	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Capital Adequacy Ratio banking regulation and determination
- Inter-Creditor Agreement purpose for stressed asset resolution
- Interest Coverage Ratio firm debt servicing bank assessment
- WaterCredit microfinance initiative water sanitation access
- Self-Help Groups origin structure and bank linkage

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CLOSING RECALL FLOW - CORE SYNTHESIS - WATERCREDIT, EVERGREENING AND FORBEARANCE

START / CONCEPT: CORE SYNTHESIS - WaterCredit, evergreening and forbearance

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EXACT TERMS: CORE SYNTHESIS · WaterCredit · evergreening · forbearance · Mechanism chain ·

Qualified use

|

v

MECHANISM / ARGUMENT: Mechanism chain: WaterCredit - Evergreening and forbearance Qualified use:

Judge inclusion by active, suitable and protected use rather than headline account counts.

|

v

CONSEQUENCE / CONTRAST: ANALYSIS: Interpretation caution: Temporary regulatory forbearance can bridge a shock, but prolonged concealment creates zombie borrowers and misallocated credit.

|

v

UPSC TRAP / ANSWER-USE: FACT: Gross NPA and net NPA differ because provisions reduce the uncovered amount. FACT: Provisioning recognises expected loss; a write-off removes the loan from the active loan book, but recovery rights may continue. FACT: Basel norms cover capital adequacy, supervisory review and market discipline; capital adequacy is assessed against risk-weighted assets, not merely total assets. FACT: Basel III's global minimum Total CRAR is 8% (CET1 $\geq$ 4.5%, Tier 1 $\geq$ 6%); RBI's India-specific standalone minima are CET1 $\geq$ 5.5%, Tier 1 $\geq$ 7% and Total CRAR $\geq$ 9%, and with the 2.5% Capital Conservation Buffer the effective minimum CET1 is 8% and the effective Total CRAR is 11.5% - always cite the latest RBI Master Circular/Direction (last issued 1 April for the current figure. FACT: The "Twin Balance Sheet" (TBS) problem - named in the Economic Survey (over-leveraged, weak debt-servicing capacity) and bank balance sheets (rising NPAs); it is a diagnostic framing, not a law or scheme. FACT: Risk weights mean capital requirements depend on asset risk, not only on the size of the balance sheet. FACT: SARFAESI Act, 2002 is a secured-asset recovery framework; it is not a substitute for the entire insolvency system. FACT: Debt Recovery Tribunals (DRTs) are specialised recovery forums; they are distinct from the NCLT-based insolvency route under IBC, 2016. FACT: IBC, 2016 is a collective insolvency-resolution mechanism; it aims at resolution or value-maximising exit, not merely one lender's recovery. FACT: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents the Indian "bad bank" aggregation concept. FACT: Prompt Corrective Action (PCA) is a supervisory tool for weak banks, and the "4R" approach refers to Recognition, Resolution, Recapitalization and Reforms. FACT: Inter-Creditor Agreements are coordination tools among lenders in stressed resolution; they reduce holdout problems but are not themselves a court or insolvency tribunal. FACT: Interest Coverage Ratio measures a firm's ability to service interest out of earnings; it is a stress indicator, not the legal definition of an NPA. FACT: RBI's annual FI-Index uses Access, Usage and Quality; it measures more than the number of accounts opened. FACT: SHG-Bank Linkage connects savings groups - commonly women-led self-help groups - to formal banking channels; the SHG is not itself a bank. FACT: WaterCredit is a microfinance-oriented model for water and sanitation access; it illustrates targeted inclusion beyond plain consumption credit or account opening.

|

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ANSWER-GRABBING FORMULATION: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

ECONOMY DEEP-REVIEW CORE CONTROL

- **Must remember:** Asset-quality stress moves from repayment weakness to recognition, provisioning, capital impact, restructuring or resolution; Basel standards govern risk-sensitive capital/liquidity while inclusion requires affordable, usable and protected access.
- **Close distinction:** Gross NPA is not net NPA, provision is not write-off, write-off is not waiver, recapitalisation is not recovery, IBC admission is not resolution, and account opening is not financial inclusion.
- **Formula / status / evidence / causal limit:** Use ratio numerator/denominator and date, distinguish regulatory standard from Indian implementation, and trace lender-borrower-resolution-professional-tribunal roles, haircuts, recovery timing, moral hazard and consumer outcomes.

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies NPA recognition?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: A. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of NPA recognition?

A. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: B. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses NPA recognition without losing its vintage, basket or legal status?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: C. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about NPA recognition?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: D. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Gross and net NPA?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: A. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Gross and net NPA?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: B. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Gross and net NPA without losing its vintage, basket or legal status?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: C. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Gross and net NPA?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: D. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Provisioning and write-off?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: A. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Provisioning and write-off?

A. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: B. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Provisioning and write-off without losing its vintage, basket or legal status?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: C. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Provisioning and write-off?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: D. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Risk-weighted capital?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: A. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Risk-weighted capital?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: B. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Risk-weighted capital without losing its vintage, basket or legal status?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: C. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Risk-weighted capital?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: D. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Basel and RBI minima?

A. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: A. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Basel and RBI minima?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: B. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Basel and RBI minima without losing its vintage, basket or legal status?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: C. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Basel and RBI minima?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: D. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per

cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Capital Conservation Buffer?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: A. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Capital Conservation Buffer?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: B. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Capital Conservation Buffer without losing its vintage, basket or legal status?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Capital Conservation Buffer?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: D. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Twin Balance Sheet diagnosis?

A. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: A. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Twin Balance Sheet diagnosis?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: B. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Twin Balance Sheet diagnosis without losing its vintage, basket or legal status?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Twin Balance Sheet diagnosis?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: D. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Asset Quality Review?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: A. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Asset Quality Review?

A. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: B. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Asset Quality Review without losing its vintage, basket or legal status?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Asset Quality Review?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: D. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies SARFAESI perimeter?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: A. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of SARFAESI perimeter?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: B. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses SARFAESI perimeter without losing its vintage, basket or legal status?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: C. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about SARFAESI perimeter?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: D. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies DRT and NCLT distinction?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: A. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of DRT and NCLT distinction?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: B. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses DRT and NCLT distinction without losing its vintage, basket or legal status?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: C. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about DRT and NCLT distinction?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: D. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies IBC architecture?

A. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: A. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of IBC architecture?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: B. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses IBC architecture without losing its vintage, basket or legal status?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: C. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about IBC architecture?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: D. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies ARC and NARCL?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: A. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of ARC and NARCL?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses ARC and NARCL without losing its vintage, basket or legal status?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: C. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about ARC and NARCL?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: D. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies PCA and 4R?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: A. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of PCA and 4R?

A. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses PCA and 4R without losing its vintage, basket or legal status?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: C. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about PCA and 4R?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: D. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Inter-Creditor Agreement?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: A. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Inter-Creditor Agreement?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Inter-Creditor Agreement without losing its vintage, basket or legal status?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: C. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Inter-Creditor Agreement?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: D. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Interest Coverage Ratio?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: A. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Interest Coverage Ratio?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

Answer: B. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Interest Coverage Ratio without losing its vintage, basket or legal status?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: C. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Interest Coverage Ratio?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

Answer: D. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies FI-Index dimensions?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: A. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of FI-Index dimensions?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: B. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses FI-Index dimensions without losing its vintage, basket or legal status?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: C. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about FI-Index dimensions?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: D. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies PMJDY platform?

A. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: A. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of PMJDY platform?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: B. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses PMJDY platform without losing its vintage, basket or legal status?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: C. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about PMJDY platform?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: D. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies SHG-Bank Linkage?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: A. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of SHG-Bank Linkage?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: B. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses SHG-Bank Linkage without losing its vintage, basket or legal status?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: C. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about SHG-Bank Linkage?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

Answer: D. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies WaterCredit?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: A. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of WaterCredit?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: B. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses WaterCredit without losing its vintage, basket or legal status?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: C. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about WaterCredit?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: D. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Evergreening and forbearance?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: A. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Evergreening and forbearance?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: B. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Evergreening and forbearance without losing its vintage, basket or legal status?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: C. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Evergreening and forbearance?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: D. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE-ONLY PYQ OWNERSHIP AUDIT

Audited ledgers route objective demands on capital adequacy, Inter-Creditor Agreements, Interest Coverage Ratio, WaterCredit and SHG-Bank Linkage here. No answer letter is inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: Historical prelims have repeatedly tested capital adequacy as a risk-weighted concept rather than a simple balance-sheet total.
- ANALYSIS: PYQ demand also extends beyond bank-account counting to lender coordination, stress-detection indicators and targeted inclusion models such as SHG linkage or WaterCredit-type microfinance.
- ANALYSIS: Use SARFAESI, DRT, IBC, ARCs and NARCL to separate recovery, resolution and stressed-asset transfer in statement-based prelims questions.
- ANALYSIS: Use PMJDY and RBI's FI-Index together in mains answers to show why access, usage and quality must be distinguished.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2018-2023.md. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2023
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 5

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	16	Capital Adequacy Ratio banking regulation and determination	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	72	Inter-Creditor Agreement purpose for stressed asset resolution	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	62	Interest Coverage Ratio firm debt servicing bank assessment	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	14	WaterCredit microfinance initiative water sanitation access	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	74	Self-Help Groups origin structure and bank linkage	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Capital Adequacy Ratio banking regulation and determination
- Inter-Creditor Agreement purpose for stressed asset resolution
- Interest Coverage Ratio firm debt servicing bank assessment
- WaterCredit microfinance initiative water sanitation access
- Self-Help Groups origin structure and bank linkage

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: Use RBI's FI-Index architecture-Access, Usage and Quality-to distinguish formal account ownership from meaningful inclusion.
- ANALYSIS: Use the 2024-25 banking PYQ pattern to distinguish institutions, access windows and instrument-specific regulation.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish NPA recognition, provisioning, write-off and waiver. Answer in about 150 words.

Model thesis: Claim: NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.
- Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.
- Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Qualified conclusion: **Claim:** NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish NPA recognition, provisioning, write-off and waiver. Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and

lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish NPA recognition, provisioning, write-off and waiver. Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why is capital adequacy measured against risk-weighted assets? Answer in about 150 words.

Model thesis: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the

economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.
- The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.
- The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Qualified conclusion: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Why is capital adequacy measured against risk-weighted assets? Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer.

Named evidence/example: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis ->

qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why is capital adequacy measured against risk-weighted assets? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Compare SARFAESI, DRT, IBC and Inter-Creditor Agreements. Answer in about 250 words.

Model thesis: **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.
- Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.
- The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.
- An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Qualified conclusion: **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named**

evidence/example: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **compare** requires a direct position on "Compare SARFAESI, DRT, IBC and Inter-Creditor Agreements. Answer in about 250 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity,

balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

4. **Claim and named evidence:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Compare SARFAESI, DRT, IBC and Inter-Creditor Agreements. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Explain why access, usage and quality must be separated in financial inclusion. Answer in about 250 words.

Model thesis: **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.
- Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
- SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.
- WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Qualified conclusion: **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket,

instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Explain why access, usage and quality must be separated in financial inclusion. Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim: SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim: SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Explain why access, usage and quality must be separated in financial inclusion. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate India's balance-sheet cleanup architecture from recognition to resolution. Answer in about 300 words.

Model thesis: Claim: Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This

identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.
- RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.
- The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.
- The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.
- Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.
- Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Qualified conclusion: **Claim:** Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period,

estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **evaluate** requires a direct position on “Evaluate India's balance-sheet cleanup architecture from recognition to resolution. Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel ->

implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect.

Qualification: State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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6. **Claim and named evidence:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC

architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Evaluate India's balance-sheet cleanup architecture from recognition to resolution. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: How can prudential stability and responsible financial inclusion reinforce each other? Answer in about 300 words.

Model thesis: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter

rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Evergreening and forbearance. **Named evidence/example:** Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.
- The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.
- Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.
- RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.
- Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
- Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Qualified conclusion: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named**

evidence/example: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named**

evidence/example: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Evergreening

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Demand decoding: The directive **answer** requires a direct position on “How can prudential stability and responsible financial inclusion reinforce each other? Answer...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Evergreening and forbearance. **Named evidence/example:** Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** Connect the identity/category and named

Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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Qualified conclusion: Claim: Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named**

evidence/example: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument

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Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “How can prudential stability and responsible financial inclusion reinforce each other? Answer...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

Subject: Economy | **Tier:** Advanced | **GS Paper:** GS-III + Prelims. **Core area:** Banking reform and inclusion. **Grounded in:** Ramesh Singh, relevant chapters; Economic Survey 2025-26; audited UPSC Economy PYQs (2024-2026 Prelims and 2024-2025 Mains). **FACT:** = source-grounded | **ANALYSIS:** = inference/analysis | **CURRENT:** = current Survey/current-affairs hook. *Companion:*
 ../basic/06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md.

1. Architecture

1. weak project or borrower cash flow
 - |
 - v
2. overdue loan and recognition
 - |
 - v
3. provisioning and capital pressure
 - |
 - v
4. recovery or resolution
 - |
 - v
5. cleaner balance sheet and renewed lending

Analytical claim: A durable solution combines early recognition, adequate loss absorption, time-bound resolution, better governance and inclusion based on suitable usage rather than account counts.

2. Concepts and distinctions

Concept	Precise meaning
FACT: NPA	Loan classified as non-performing under RBI prudential norms; the usual term-loan test is interest or principal overdue for more than 90 days.
FACT: Provisioning	Charge against income to absorb expected loss on stressed assets.
FACT: Capital adequacy	Capital buffer relative to risk-weighted assets.
FACT: Resolution	Restructuring, recovery, sale or insolvency process for stressed exposure.
FACT: Financial inclusion	Useful, affordable and responsible access, usage and quality of financial services.

3. Detailed transmission

1. Weak borrower cash flow or project failure causes overdue interest or principal.
2. Asset classification and provisioning force the lender to recognise expected loss.
3. Losses reduce profits and capital, constraining the bank's ability to extend fresh credit.
4. Restructuring, recovery, asset sale or insolvency resolution determines whether enterprise value can be preserved.
5. Recapitalisation and governance reform restore lending capacity, while inclusion policy broadens responsible access and usage.

Deeper analytical layers

- ANALYSIS: An NPA cycle can be driven by macro shocks, project delays, governance failures, connected lending or weak underwriting.
- ANALYSIS: Prompt recognition raises near-term reported stress but prevents hidden losses from compounding.
- ANALYSIS: Capital conservation and countercyclical buffers address different risks: firm resilience and system-wide credit cycles.
- ANALYSIS: Resolution must choose among revival, change of control, asset sale and liquidation based on enterprise value.
- ANALYSIS: Inclusion should combine transaction accounts, savings, payments, insurance, pensions and productive credit.
- ANALYSIS: Digital trails can improve underwriting but require consent, grievance redress and protection from predatory lending.

4. Institutional architecture

- FACT: **RBI**: sets prudential recognition, provisioning, capital and resolution-related banking rules.
- FACT: **Insolvency and Bankruptcy Board of India and NCLT**: administer the corporate insolvency framework.
- FACT: **Asset reconstruction companies**: acquire and resolve stressed financial assets under the applicable framework.
- FACT: **Banks, business correspondents and digital-payment networks**: deliver inclusion beyond physical branches.

5. Indian applications and boundary cases

- ANALYSIS: An accounting write-off removes a loan from active books but need not cancel recovery

rights.

- ANALYSIS: Evergreening uses fresh finance to conceal an unviable old exposure rather than restore genuine cash flow.
- ANALYSIS: A newly opened account without transactions, suitable products or grievance access represents weak inclusion.

6. Limitations and trade-offs

- ANALYSIS: Forbearance can bridge a temporary shock but prolonged forbearance creates zombie lending.
- ANALYSIS: Aggressive recovery improves discipline but must respect due process and avoid destroying viable firms.
- ANALYSIS: Higher capital protects depositors but may constrain credit during balance-sheet repair.
- ANALYSIS: Credit guarantees expand lending but can weaken screening if risk is transferred completely.
- ANALYSIS: Digital inclusion lowers costs while cyber, exclusion and mis-selling risks rise.

ANALYSIS: **Boundary condition:** Temporary regulatory forbearance can bridge a shock, but prolonged concealment creates zombie borrowers and misallocated credit.

7. Must-Know Facts for Advanced Prelims

- FACT: Gross NPA and net NPA differ because provisions reduce the uncovered amount.
- FACT: Evergreening hides stress by using new finance to service old dues without restoring viability.
- FACT: Basel norms address capital, supervisory review and market discipline, with liquidity standards added after the global crisis.
- FACT: Risk weights mean capital requirements depend on asset risk, not only total assets.
- FACT: Insolvency resolution aims to preserve value through time-bound collective action; it is not merely loan recovery.
- FACT: RBI's annual FI-Index uses Access, Usage and Quality; it is not an account-opening count and has no base year.

8. Advanced Prelims traps

- WRONG: Every restructured loan is fraud. -> Restructuring can be legitimate when viability is restored transparently.
- WRONG: Provisioning is the same as write-off. -> Provisioning recognises expected loss; write-off removes the asset from active books.
- WRONG: A write-off waives the borrower's liability. -> Recovery rights can continue after an accounting write-off.
- WRONG: Basel fixes a single capital ratio for every asset. -> Risk weights and buffer requirements matter.
- WRONG: Opening accounts alone completes inclusion. -> Usage, quality, literacy, protection and suitable credit are essential.

9. CURRENT: Survey 2025-26 analytical application

Verified current anchor	Topic-specific analytical use
CURRENT: Scheduled commercial bank GNPA was 2.2% and NNPA 0.5% by Sep 2025.	Treat improved asset quality as the outcome of recognition, provisioning, recovery, resolution and better credit discipline.
CURRENT: The Survey reports multi-decade-low asset-quality ratios while stressing calibrated financial regulation.	Low reported stress does not remove concentration, cyber, liquidity or future credit-cycle risks.
CURRENT: RBI's FI-Index uses Access, Usage and Quality.	Use its architecture to show why account opening alone is an incomplete inclusion metric.

Source: RBI FI-Index release.

10. PYQ-based analytical application

- ANALYSIS: Use RBI's FI-Index architecture-Access, Usage and Quality-to distinguish formal account ownership from meaningful inclusion.
- ANALYSIS: Use the 2024-25 banking PYQ pattern to distinguish institutions, access windows and instrument-specific regulation.

11. Mains-ready framework

Central thesis: A durable solution combines early recognition, adequate loss absorption, time-bound resolution, better governance and inclusion based on suitable usage rather than account counts.

1. Define **NPA** and distinguish it from **Provisioning**.
2. Asset classification and provisioning force the lender to recognise expected loss.
3. RBI: sets prudential recognition, provisioning, capital and resolution-related banking rules.
4. Forbearance can bridge a temporary shock but prolonged forbearance creates zombie lending.
5. Judge inclusion by suitable usage and welfare gains, not account counts alone.

12. Probable questions

- ANALYSIS: **Prelims:** Distinguish gross NPA, net NPA, provisioning, write-off and loan waiver.
- ANALYSIS: **Mains (10 marks):** Why can prompt recognition of bad loans initially worsen reported ratios but improve financial stability?
- ANALYSIS: **Mains (15 marks):** Connect Basel discipline, insolvency resolution and financial inclusion in a sound-credit strategy.

13. Study links

- FACT: Foundation companion:
../basic/06_NPAs-Basel-Norms-Resolution-and-Financial-Inclusion.md.
- FACT: 05_Banking-Structure-NBFCs-and-Financial-Regulation.md - regulated entities and safety nets.
- FACT: 09_Union-Budget-Fiscal-Policy-and-Deficit-Indicators.md - recapitalisation and contingent fiscal costs.
- FACT: 24_Services-Digital-Economy-Fintech-and-Platform-Markets.md - digital underwriting and consumer protection.

CONSOLIDATED REGISTER NOTES

NPAs, Basel Norms, Resolution and Financial Inclusion: RAPID MEASURE, INSTITUTION AND VINTAGE MAP

1. **NPA recognition:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.
2. **Gross and net NPA:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.
3. **Provisioning and write-off:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.
4. **Risk-weighted capital:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.
5. **Basel and RBI minima:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.
6. **Capital Conservation Buffer:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.
7. **Twin Balance Sheet diagnosis:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.
8. **Asset Quality Review:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.
9. **SARFAESI perimeter:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.
10. **DRT and NCLT distinction:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.
11. **IBC architecture:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.
12. **ARC and NARCL:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.
13. **PCA and 4R:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.
14. **Inter-Creditor Agreement:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.
15. **Interest Coverage Ratio:** Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.
16. **FI-Index dimensions:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.
17. **PMJDY platform:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
18. **SHG-Bank Linkage:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.
19. **WaterCredit:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.
20. **Evergreening and forbearance:** Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

NPA's, Basel Norms, Resolution and Financial Inclusion: BASE-YEAR, BASKET, INSTRUMENT AND LEGAL-STATUS TRAPS

- Do not classify every weak borrower as an NPA without applying the prudential trigger.
- Do not equate gross NPA, net NPA, provisioning, write-off and waiver.
- Do not quote Basel or RBI ratios without the circular date and covered-bank perimeter.
- Do not equate secured recovery under SARFAESI with collective insolvency under IBC.
- Do not claim that transfer to an ARC or NARCL eliminates the economic loss.
- Do not call an Inter-Creditor Agreement a tribunal or statutory insolvency process.
- Do not use Interest Coverage Ratio as the legal NPA definition.
- Do not reduce financial inclusion to account opening without usage and quality.
- Do not treat every restructuring or temporary forbearance as fraud.
- Do not present the Twin Balance Sheet diagnosis as a current ratio or scheme.

NPA's, Basel Norms, Resolution and Financial Inclusion: ANSWER-WRITING SPINE

DEFINE THE MEASURE OR INSTITUTION AND FIX ITS COVERAGE

- > STATE FORMULA, PRICE BASIS, BASE YEAR, BASKET OR LEGAL POWER
- > NAME THE PERIOD, ESTIMATE VINTAGE AND ISSUING BODY
- > TRACE THE TRANSMISSION OR ACCOUNTING RECONCILIATION
- > ADD ONE INDIA-SPECIFIC EVIDENCE UNIT AND ITS LIMIT
- > TEST DISTRIBUTION, OUTPUT, PRICE OR FINANCIAL-STABILITY EFFECTS
- > CONCLUDE WITH A GRADED VERDICT, NOT A TIMELESS NUMBER

NPA's, Basel Norms, Resolution and Financial Inclusion: LIVE-SOURCE AND ESTIMATE-STATUS BOUNDARY

The live RBI Basel page confirmed the circular identity, date and covered-bank perimeter. The attempted FI-Index URL resolved to an unrelated 2021 Treasury-Bill release, so Access-Usage-Quality and all prudential ratios remain sourced to the audited Markdown owner with their stated status.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: Stress recognition rail

WEAK CASH FLOW

- > OVERDUE UNDER RBI TEST
- > NPA RECOGNITION
- > PROVISIONING + CAPITAL PRESSURE

MUST REMEMBER: Asset-quality stress moves from repayment weakness to recognition,...

ASCII MASTER FLOW - PANEL 2/12: Loan-accounting fork

PROVISION -> expected loss charged to income
WRITE-OFF -> removed from active loan book
WAIVER -> liability legally relinquished
RECOVERY RIGHTS may survive a write-off

ASCII MASTER FLOW - PANEL 3/12: Risk-weighted capital board

BASEL GLOBAL -> CET1 4.5 | TIER 1 6 | TOTAL 8
RBI INDIA -> CET1 5.5 | TIER 1 7 | CRAR 9
CCB -> 2.5 CET1
VINTAGE -> RBI Master Circular, 1 Apr 2025

ASCII MASTER FLOW - PANEL 4/12: Twin-balance-sheet loop

CORPORATE OVER-LEVERAGE
-> WEAK DEBT SERVICE
-> BANK NPAs + CAPITAL LOSS
-> WEAKER FRESH CREDIT

ASCII MASTER FLOW - PANEL 5/12: Recovery-resolution ladder

SARFAESI -> secured-asset enforcement
DRT -> specialised debt recovery
IBC / NCLT -> collective insolvency
ICA -> lender coordination, not a tribunal

ASCII MASTER FLOW - PANEL 6/12: Stressed-asset transfer

BANK BALANCE SHEET
-> ARC / NARCL TRANSFER
-> SPECIALISED RECOVERY OR SALE
LOSS REMAINS -> valuation and buyer interest decide

ASCII MASTER FLOW - PANEL 7/12: Supervisory repair sequence

AQR -> RECOGNITION
PCA -> GRADUATED SUPERVISION
RECAPITALISATION -> LOSS ABSORPTION
4R -> RECOGNITION + RESOLUTION + RECAP + REFORMS

ASCII MASTER FLOW - PANEL 8/12: Stress indicators board

NPA -> prudential loan classification
ICR -> earnings / interest-service indicator
EVERGREENING -> concealed stress
FORBEARANCE -> temporary relief, not permanent concealment

ASCII MASTER FLOW - PANEL 9/12: Inclusion quality triangle

ACCESS -> account or service availability
USAGE -> active and suitable use
QUALITY -> protection + grievance + suitability
FI-INDEX -> all three; no base year

ASCII MASTER FLOW - PANEL 10/12: Inclusion delivery map

PMJDY -> transaction-account platform
SHG-BANK LINKAGE -> group savings to formal bank
BUSINESS CORRESPONDENT -> last-mile access
WATERCREDIT -> targeted water/sanitation finance
CLOSE DISTINCTION: Gross NPA is not net NPA, provision is not write-off, write-off is not...

ASCII MASTER FLOW - PANEL 11/12: Credit-cleanup trade-offs

EARLY RECOGNITION -> credibility / short-run ratio shock
HIGHER CAPITAL -> resilience / lending constraint
FAST RECOVERY -> discipline / viability risk
DIGITAL ACCESS -> lower cost / exclusion and mis-selling risk
EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use ratio numerator/denominator and date,...

ASCII MASTER FLOW - PANEL 12/12: NPA answer spine

DEFINE stress and classification
ABSORB loss through provisions and capital
CHOOSE recovery, resolution or transfer
RESTORE governance and useful inclusion